

6-5 Internalization Advantages

Known as internalization, another great advantage associated with FDI is the ability to replace the external market relationship with one firm (the MNE) owning, controlling, and managing activities in two or more countries. This is important because of significant imperfections in international market transactions. The institution-based view suggests that markets are governed by rules, regulations, and norms that are designed to reduce uncertainties. Uncertainties introduce transaction costs—costs associated with doing business (see [Chapter 2](#)). This section

- (1) outlines the necessity to combat market failure, and
- (2) describes the benefits brought by internalization.